Quibi: The $1.75 Billion Kill Decision Nobody Made

Teaching Case (HBS-style) — written for this course

Prepared for: TUM Entrepreneurship Course: Prototyping Entrepreneurial Ideas for AI

Decision Point: October 2020 — Six Months After Launch, ~500,000 Paying Subscribers, Kill or Continue?

How this case ties into Module 07

This module — **The Kill Decision** — asks why smart people keep funding ideas the evidence has already condemned. Quibi is the canonical answer. Watch three things as you read: (1) **Escalation of commitment:** $1.75 billion of assumptions that nobody pre-committed to kill. No thresholds, no tripwires — so every bad month became an argument for one more month. (2) **Monkey first:** Quibi built pedestals — star-studded content deals, a beautifully polished app — and never tested the monkey: will anyone pay for premium short-form mobile video? A €0 test existed (a landing page, a price, a sign-up button). (3) **The workshop bridge:** today you run the pre-mortem and the GPK scorecard on your OWN venture. Quibi is the cautionary mirror — read it as the team you refuse to become.

Introduction

In January 2020, Meg Whitman stood on the CES keynote stage in Las Vegas and unveiled the finished product of a billion-dollar bet. Quibi — “quick bites” of video entertainment, designed for smartphones — would launch in April 2020. The platform had:

- $1.75 billion in funding (the $1 billion first round alone, closed in August 2018 before a single show existed, was one of the largest first rounds in startup history)
- More than $1 billion committed to content in year one — 175+ shows, 8,500 short episodes, some costing up to $6 million per finished hour
- A sleek mobile app, polished and ready, built around patented “Turnstyle” technology that let video rotate seamlessly between portrait and landscape

- An exact answer to a question nobody was asking: “What if we had premium short-form video you paid $4.99/month for?”

The timing seemed impeccable. Or so they thought.

Then, on March 11, 2020, the World Health Organization declared COVID-19 a pandemic. Offices shut down. Schools closed. Suddenly, the world was home. And people, finally with time to breathe, discovered TikTok.

Quibi launched on April 6, 2020, to a market that had inverted overnight. The assumption underlying every decision — that users would watch short video on their phones while commuting, between meetings, during lunch breaks — had evaporated. People were home, watching TV, scrolling for hours on free social video apps.

On October 21, 2020 — six months after launch — Quibi’s board decided to shut the company down. At the announcement, Quibi had roughly 500,000 paying subscribers against a first-year target of 7.4 million. The app went dark on December 1, 2020. Quibi told its investors it would return about $350 million of the $1.75 billion they had put in.

Here is the uncomfortable part: the October decision was, by then, the right call — and Whitman and Katzenberg made it. The question that haunts the Quibi story is therefore not “Why did it fail?” The answer to that is clear: wrong product-market fit, brutal timing, and free competition. The harder question is: **why did the kill decision only become thinkable after roughly $1.4 billion was gone — and why did nobody define, back in 2018, what evidence would trigger it?**

This case is about kill decisions: how founders and boards recognize that an idea, no matter how well-funded or well-intentioned, is not going to work. And what forces prevent them from making that decision while it is still cheap.

Background

The Premise: Short-Form Premium Video (2018-2019)

In 2018, as Jeffrey Katzenberg and Meg Whitman were conceiving Quibi (founded in August 2018 as “NewTV,” renamed that October), the entertainment landscape was:

Consumer Behavior Shift: - Smartphones were the primary screen for under-40 demographics - YouTube had 2 billion logged-in monthly users - Netflix had nearly 150 million subscribers, mostly watching on TVs - TikTok (launched internationally in 2017, merged with Musical.ly in 2018) was growing exponentially, especially among Gen Z -

Snapchat had roughly 200 million daily active users - Instagram had 1 billion users (though Stories was newer)

The Insight: Netflix and HBO had optimized for TV watching. YouTube was optimized for long-form and creator content. But nobody had optimized for short-form, premium, curated content specifically for phones.

Katzenberg and Whitman's thesis (paraphrasing their public pitch): people consume entertainment in stolen moments — commutes, queues, lunch breaks. They want premium, scripted, celebrity-driven content, but in episodes of 10 minutes or less, designed for phones. Charge $4.99/month with ads (or $7.99 without), and the model sustains itself.

This was not obviously wrong in 2018. It had logic. The problem was the opposite: it was obviously right, in theory. But consumer behavior in practice would tell a different story.

The Founders and Their Advantages (2018-2019)

Jeffrey Katzenberg: - Chairman of Walt Disney Studios (1984–1994) during the era of The Little Mermaid, Beauty and the Beast, and The Lion King - Co-founded DreamWorks SKG in 1994 with Steven Spielberg and David Geffen; long-time CEO of DreamWorks Animation, which was sold to Comcast's NBCUniversal in 2016 for approximately $3.8 billion - Had direct relationships with every major Hollywood studio, producer, and talent - Understood entertainment production at scale - Track record: proven ability to greenlight hits (Shrek, Madagascar, Kung Fu Panda)

Meg Whitman: - Former CEO of eBay (1998–2008; joined at ~30 employees and a few million dollars in revenue, left it a global marketplace with ~$8 billion in revenue) - Former CEO of Hewlett-Packard (2011–2015), one of the world's largest technology companies - Ran for California Governor in 2010 - Understood operations, scaling, and execution at massive scale - Track record: proven ability to run technology companies at scale

Their Advantage: Neither was a typical tech founder, but both had credibility with investors, Hollywood, and operators. If Meg Whitman says this will work, investors listen.

The Funding (2018-2020)

Raising $1.75 billion for a pre-launch entertainment startup was extraordinary. But Whitman and Katzenberg's credibility, combined with the obvious promise of the idea, made it possible:

Round	When	Amount	Who (documented; individual stakes not disclosed)
First round	August 2018	~$1 billion	Disney, 21st Century Fox, NBCUniversal, Sony Pictures, WarnerMedia, Viacom, MGM, Lionsgate, eOne, ITV — plus Goldman Sachs, JPMorgan Chase, Alibaba, Madrone Capital, Liberty Global
Add-on	July 2019	undisclosed	BBC Studios
Second round	Announced March 2020	~$750 million	Largely existing investors, closed in the months around launch

Why the Money Came: 1. The founders had proven track records 2. The content strategy looked defensible (exclusive deals with major studios and A-list creators) 3. The model was clear: subscription with an ad-supported tier, scale to profitability 4. The timing seemed right: a mobile-first generation was coming of age

Note what is missing from that list: evidence. Nearly every major studio invested — which also meant nearly every major studio was betting on the thesis rather than testing it.

Content Strategy and Deals (2018-2020)

With $1.75 billion in hand and over $1 billion earmarked for year-one content, Katzenberg and team signed deals with:

- **Steven Spielberg** — a horror anthology, Spielberg's After Dark (announced; never aired)
- **Guillermo del Toro** — an announced original project
- **Sam Raimi** — 50 States of Fright horror anthology
- **Antoine Fuqua** — #FreeRayshawn, with Laurence Fishburne
- **Jennifer Lopez**, **Chrissy Teigen**, **Anna Kendrick**, **Kevin Hart**, **Idris Elba**, **LeBron James** — original series and unscripted shows
- **Sophie Turner** (Survive) and **Liam Hemsworth** (Most Dangerous Game) — flagship scripted "movies in chapters"

Cost per minute: Quibi paid up to $100,000 per minute — about $6 million per finished hour — for its premium "lighthouse" content. That is an order of magnitude above YouTube economics and within range of prestige TV, for episodes under 10 minutes.

Deal structure: Quibi paid production costs plus a licensing fee, but creators kept the copyright and could distribute their work elsewhere after a set number of years. Generous for Hollywood; expensive and asset-light for Quibi.

The bet: The internal year-one target was 7.4 million paying subscribers. At $4.99–7.99/month, that implied roughly half a billion dollars in annual subscription revenue, plus advertising — Quibi had pre-sold its entire first-year ad inventory, $150 million, before launch. Content would be expensive but finite. Eventually, the platform would be profitable.

The math was not unreasonable. It was just wrong.

The Situation

Pre-Launch (January-March 2020)

As of January 2020, Quibi was on track: - App fully built and polished, unveiled at the CES 2020 keynote - 175+ shows and 8,500 episodes planned for year one; roughly 50 shows ready for launch day, with three hours of fresh content promised daily - Marketing campaign prepared: a year-one budget reported at $400–470 million, including a Super Bowl spot in February 2020 - Distribution: iOS and Android apps; T-Mobile signed as exclusive wireless launch partner (a free year of Quibi for many of its customers) - Pricing: $4.99/month (ad-supported) or $7.99/month (ad-free), with a 90-day free trial for launch-window signups

Early Signals (Q1 2020, Pre-Pandemic): - $150 million of first-year ad inventory sold out to roughly ten blue-chip advertisers - Strong awareness campaign among the target demographic (18–44, mobile-first) - Mixed-to-positive press previews: praise for polish, open skepticism about “who asked for this?” - No willingness-to-pay data — the 90-day free trial guaranteed that none would exist until July

The Pandemic (March 11-April 6, 2020)

Then the world changed. In the weeks between the WHO’s pandemic declaration and Quibi’s launch:

- **Schools closed** (mid-March 2020)
- **Offices sent workers home** (March 13-17, 2020)
- **Stay-at-home orders spread** (California on March 19, 2020; most U.S. states by early April)
- **Unemployment spiked** (14.7% by April, the highest since the Great Depression)
- **Uncertainty was extreme** (nobody knew if the shutdown would last weeks or months)

The Behavioral Shift: - Commute time collapsed to zero (no one commuting = no “in-between moments” for mobile video) - TV watching surged (people were home, seeking

longer entertainment) - Streaming subscriptions surged (Disney+, Netflix, and the new HBO Max all added users at record pace) - **TikTok exploded** — 315 million downloads in Q1 2020 alone, the best quarter any app had ever recorded (Sensor Tower); by August 2020 it claimed 100 million monthly U.S. users

Launch Day (April 6, 2020)

Quibi launched on schedule, with: - Full ad campaign running - 300,000 downloads on day one, hitting #3 in the App Store (TechCrunch) - 1.7 million downloads in the first week (company figure) - Heavy press coverage (“Can Quibi survive the pandemic?”) - The T-Mobile partnership funneling in trial users

Immediate User Feedback (first weeks):

Illustrative reconstruction for classroom use — themes compiled from launch-period reviews and reporting, not a single survey.

- Trial users signed up but didn’t return
- No way to share clips or screenshots — in a TikTok world, Quibi content couldn’t go viral (screenshotting was blocked at launch)
- Mobile-only by design: no TV apps, no casting — exactly what locked-down users wanted and Quibi refused to offer
- Positive feedback: “Content is great” / “App is polished”
- Negative feedback: “Why pay $4.99 when TikTok is free?” / “I don’t have a commute anymore”

The Data Signals (April-July 2020)

The public record of Quibi’s first hundred days reads like a countdown:

When	Signal	Source
April 6-14	300K day-one downloads, #3 App Store; 1.7M first-week downloads	TechCrunch; Quibi
Mid-April	App falls out of the top 50 free iPhone apps within a week	Sensor Tower
Early May	App ranked ~#125; 2.9M installs (Sensor Tower) vs. 3.5M claimed (Quibi); 1.3M active users (Quibi's own figure)	Sensor Tower; NYT
June	On pace for ~2M year-one subscribers vs. the 7.4M target; senior executives take 10% pay cuts	WSJ; Collider
July 8	The 90-day trials expire: ~8% of the 910K launch-window signups convert to paying (~72K). Quibi calls the estimate "incorrect by an order of magnitude"; analytics firm Antenna counters that 27% of day-one trialists converted	Sensor Tower; Deadline; Antenna

What the Board Saw: - Even the most generous number on the table (Antenna's 27% of a small early cohort) implied a subscriber base wildly short of the 7.4M-target trajectory - Benchmark: Disney+ had converted ~11% of its initial free-trial app users (Sensor Tower) — and Disney+ was priced lower with a vastly deeper catalog - Because no conversion threshold had ever been pre-agreed, the meeting could be spent arguing about whose measurement was right instead of what the measurement meant - Content costs were locked in; revenue was clearly insufficient

What This Meant (basic math, from public anchors): - ~500K-1M paying subscribers at $4.99-7.99/month ≈ $30-90M annual subscription revenue at best - Year-one content commitment: $1B+; year-one marketing: ~$400M+ - **Implied all-in spend: on the order of $100M+ per month against low-single-digit millions of monthly revenue** - The 90-day free trial had a second cost nobody priced in: it pushed the single most important signal — willingness to pay — three full months past launch

The Board Meetings (May-September 2020)

Reconstructed for classroom discussion — the events and decisions are documented; the meeting dialogue is illustrative, not verbatim.

Quibi's board and investor base included the founders and representatives of the studios, banks, and strategics that had funded it. Between May and September 2020, the documented sequence looks like this:

May-June 2020: - Katzenberg tells The New York Times the launch is “not close to what we wanted” — and adds, verbatim: “I attribute everything that has gone wrong to coronavirus.” Whitman is publicly more upbeat (CNN) - The prevailing logic: the pandemic is temporary; once commutes return, consumption normalizes - Product concessions begin: casting to TVs via AirPlay/Chromecast is added in June — quietly abandoning the mobile-only thesis - **Decision**: Stay the course. Keep producing. Wait for conversion data.

July-August 2020: - The conversion dispute (8% vs. 27%) burns board attention; either number is fatal at trend - Sharing and screenshot features ship — more pedestal-polishing - A free, ad-supported version is quietly tested in Australia and New Zealand; the ad-free price is cut. The Wall Street Journal reports launch advertisers are seeking to defer payments as audiences lag - **Decision**: Stay the course, trim where possible. The content pipeline keeps flowing.

September 2020: - WSJ and Recode report Quibi is exploring “strategic options”: a sale, new funding, or going public via a SPAC. One report puts remaining usable funds around $200 million - Advisers quietly shop the company. No buyer emerges — the studios that invested pass on acquiring it - The Eko patent lawsuit over Turnstyle, bankrolled by Elliott Management, hangs over the core technology - **Decision**: Now the board faces the question directly: keep going, pivot, or pull the plug?

The Kill Decision Question

By October 2020, Quibi had a choice:

Option 1: Keep Going - Argument: We’ve spent over $1 billion on 175+ shows. Emmy wins in September (#FreeRayshawn took two) prove the content works. Conversion could improve as the library grows. - There is still cash for months of runway. Let’s see if the market turns as lockdowns evolve. - Killing now means admitting failure. Two legendary reputations are at stake. - Defense: “We’re in a pandemic. Extraordinary circumstances. Wait for normalization.”

Option 2: Pivot - Cut content spending. Shift to the free, ad-supported model already being tested in Australia and New Zealand. - Reposition as “free premium short-form” and compete on content, not price. - Or abandon phones: chase the TV apps (Apple TV, Fire TV, Google TV — which in fact shipped on October 20, one day before the shutdown news broke). - Defense: “Our data shows consumers won’t pay. Let’s stop asking them to.”

Option 3: Kill the Platform - Accept that the model doesn’t work as a standalone paid service. - Wind down in an orderly way; return the remaining cash (roughly $350 million, as it turned out) to investors; sell the content library and technology for whatever they fetch. -

Preserve capital, relationships, and some dignity. - Defense: “Keeping going spends more money without changing the outcome.”

The Psychological Barriers to a Kill Decision

Why didn’t the board kill Quibi sooner — in July, when the conversion data landed, or before launch, when the pandemic inverted the use case? Several forces:

1. Sunk Cost Fallacy - Over $1 billion already committed. Quitting felt like declaring it wasted. - In reality, that money was already spent; the decision should be forward-looking only (“What is the best use of what remains?”). Psychologically, humans struggle with this.

2. Founder Authority - Whitman and Katzenberg had two of the most decorated track records in American business. Boards don’t easily override founders’ judgment. - Investors had explicitly bet on gut instinct: the Wall Street Journal later wrote that investors backed Quibi “largely because they trusted the gut instincts and vision of Mr. Katzenberg.”

3. Extraordinary Circumstances - The pandemic was a legitimate excuse: “This is a once-in-a-century event. Metrics don’t reflect underlying demand.” - Even sophisticated investors could convince themselves the problem was temporary. Katzenberg said it out loud: everything that went wrong was the coronavirus.

4. Content Commitments - Over $1 billion in deals with Spielberg-tier talent and every major studio — who were also the investors. - Breaking those deals meant damaging the exact relationships the founders needed for whatever came next. - In the near term, continuing to produce felt cheaper than renegotiating Hollywood.

5. Ego and Narrative - Whitman and Katzenberg had staked their reputations on Quibi. - Quitting meant admitting the idea was wrong, not just the execution. - That is the hardest sentence in entrepreneurship to say out loud.

The Exhibits

Exhibit A: The Metrics That Mattered (April-October 2020)

Compiled from public reporting (sources in brackets). Where Quibi and analysts disagreed, both figures are shown — the disagreement is part of the lesson.

When	Metric	Value	Target/ benchmark
Apr 6	Day-one downloads	300K, #3 App Store [TechCrunch]	—
Apr 14	Week-one downloads	1.7M [Quibi]	—
Mid-Apr	App Store rank	Out of top 50 within a week [Sensor Tower]	Stay top-50
Early May	Cumulative installs	2.9M [Sensor Tower] vs. 3.5M [Quibi]	—
Early May	Active users	1.3M [Quibi]	—
Jun	Year-one subscriber pace	~2M projected [WSJ]	7.4M internal target
Jul 8	Trial-to-paid conversion (first cohort)	~8%, ≈72K of 910K [Sensor Tower]; 27% of day-one trialists [Antenna]; "incorrect by an order of magnitude" [Quibi]	Disney+: ~11%
Q2 → Q3	Subscriber households (est.)	1.1M → 710K [Kantar]	Growing, not shrinking
Oct 21	Paying subscribers at shutdown	~500K [NBC News]	7.4M year-one target

Key Insight: By July 2020, the data was unambiguous — even Quibi's own preferred numbers put it at a small fraction of target, and the trend line pointed down. There was no metric trending positively. Yet the company operated for three more months, and the debate centered on whose numbers were right rather than on what any of them implied.

Exhibit B: Kill Decision Criteria (What Should Have Been Set)

Hypothetical framework — Quibi set no such criteria. If it had run a pre-mortem in January 2020, thresholds like these could have been pre-committed. Thresholds are illustrative; the "what happened" column is from public reporting.

Criterion	Pre-committed threshold	What happened	Decision
Pre-launch willingness-to-pay test	≥5% of cold traffic enters payment details for $4.99/month	Never tested — 90-day free trial deferred the question	**(the real kill point)**
App Store staying power	Top 50 for 30 days post-launch	Out of top 50 within a week	**KILL**
Active use of installed base	>50% of installs active monthly	~1.3M of 3.5M ≈ 37% (company's own figures, May)	**KILL**
Trial-to-paid conversion	>15% (Disney+ benchmark ~11%, with a weaker catalog case)	~8% (Sensor Tower) — disputed, but even 27% of a small cohort missed trajectory	**KILL**
Subscriber trajectory at month 3	On pace for ≥50% of the 7.4M year-one target	On pace for ~2M ≈ 27% of target	**KILL**
Subscriber trend	Growing quarter over quarter	Shrinking: 1.1M → 710K households (Kantar)	**KILL**

Real situation: Quibi had targets (7.4M subscribers) but no tripwires. It operated without guardrails. This meant every month the team could argue "we're still early, give us time" — and when data arrived, dispute the data itself.

Exhibit C: Competitive Landscape (April-October 2020)

Platform	Users/Subscribers	Positioning	Trend
TikTok	315M downloads in Q1 2020 alone (best quarter ever recorded); ~100M monthly U.S. users by Aug 2020	Free, algorithm-driven, viral	Explosive growth
YouTube Shorts (beta Sept 2020)	Atop YouTube's 2B+ logged-in users	Free, short-form, recommendation	Launching
Instagram Reels (launched Aug 2020)	Atop Instagram's 1B+ users	Free, short-form, feed-integrated	Gaining traction
Snapchat	249M DAU (Q3 2020)	Free, Stories, close friends	Growing
Disney+ (launched Nov 2019)	60M+ subscribers by Aug 2020	Paid, premium, long-form	Explosive growth
Netflix	195M paid (Q3 2020)	Paid, premium, long-form	Strong growth
HBO Max (launched May 2020)	~8.6M activations by Q3 2020	Paid, premium, long-form	Ramping
Quibi	~710K subscriber households (Kantar, Q3), shrinking	Paid, premium, short-form	Declining

Insight: Quibi was caught between free platforms (TikTok, Reels, Shorts) that owned short-form, and paid platforms (Disney+, Netflix) that owned premium. It had no natural home — and the pandemic quarter in which it launched was the single best quarter in history for its free competitor.

Exhibit D: The Cost Structure Reality

Money in vs. money out (documented anchors; scenario math below is illustrative):

Item	Amount
Total raised (2018 + 2020 rounds)	~$1.75B
Year-one content commitment (175+ shows, 8,500 episodes)	$1B+
Year-one marketing plan	~$400-470M (reported)
Pre-sold year-one ad inventory	$150M (advertisers later sought deferrals)
Returned to investors at wind-down	~$350M
Content library sale to Roku (Jan 2021)	<$100M

What the wind-down math says: Of $1.75 billion raised, roughly $350 million came back — about 20 cents on the dollar. The content that cost over $1 billion resold for less than $100 million — under 10 cents on the content dollar.

The kill-timing scenario (illustrative reconstruction for classroom use — directionally faithful, individual numbers are teaching estimates): - Kill on July 8, 2020 (the day the conversion data landed) instead of October 21: save ~3.5 months of content production, marketing, and operations — plausibly $150-300M more returned to investors - Kill in March 2020 (pre-launch, when the commute use case evaporated): most of the marketing budget and much of the content slate was still uncommitted — plausibly $500M+ preserved, though at the cost of never knowing - Kill in 2018 with a €0 smoke test (fake landing page, real price, measure sign-ups): $1.75B never raised, two reputations intact, the same lesson learned

The Math: Every month of delay had a price tag in the tens of millions. For investors, an earlier kill dominated in every scenario — except the one where conversion miraculously recovered, which no evidence supported.

Exhibit E: How X Actually Kills Projects (The Framework Quibi Never Used)

X, Alphabet's "moonshot factory" (formerly Google X), is the most-documented example of institutionalized kill decisions. Its captain, Astro Teller, described the system in his 2016 TED talk, "The unexpected benefit of celebrating failure," and in his essays. The real approach — properly attributed:

1. "Tackle the monkey first." Teller's parable: if your plan is to have a monkey recite Shakespeare while standing on a pedestal, do not start by building the pedestal. Anyone can

build a pedestal — it is visible, satisfying progress. Train the monkey first, because if the monkey can't be trained, the pedestal is worthless. Teams default to pedestal-building; X forces them to attack the riskiest assumption first.

2. Run at the hardest parts of the problem first. Teller: X teams "run at all the hardest parts of the problem first" — and ask, cheerfully, "How are we going to try to kill our project today?" The goal is to find the fatal flaw while the project is small.

3. Make killing safe — even rewarded. In the TED talk, Teller reports that X killed over 100 investigations in a single year, and that teams who end their own projects get applause from their peers, hugs and high fives from their managers — and that X has paid bonuses to every single person on teams that killed their projects, from teams of two to teams of more than thirty. Some team members get promoted for it. The incentive design is the point: if killing your project costs you status, you will never kill it.

Quibi Against the X Playbook:

X principle	Quibi's reality
Identify the monkey (riskiest assumption)	The monkey: will people pay for premium short-form mobile video? Never isolated, never tested
Train the monkey before building pedestals	Built pedestals for two years: $1B+ content slate, Turnstyle patents, $400M marketing, T-Mobile deal, CES keynote
Attack the hardest part first	Attacked the easiest parts first — everything money and relationships could buy
Pre-agree what evidence kills the project	Targets existed (7.4M); tripwires did not. When data arrived, the company disputed the data
Reward the kill	For two of the most famous executives in America, killing meant public humiliation. Every incentive pointed to persistence

Lesson: If Quibi had been run like an X project, it would have died as a two-person experiment in 2018 — a landing page with a price and a sign-up button — for a few thousand dollars. Or for €0.

The Decision

It is mid-October 2020, six months after Quibi's launch.

You are a board member at Quibi (imagine you're not a founder, so you have some independence). You're in a board meeting with Meg Whitman, Jeffrey Katzenberg, and representatives of the investors.

The situation: - Roughly 500,000 paying subscribers (the year-one target was 7.4 million; the pace projection in June was ~2 million) - Kantar estimates subscriber households shrank from 1.1M (Q2) to 710K (Q3) - Trial-to-paid conversion is disputed — ~8% (Sensor Tower) vs. 27% of an early cohort (Antenna) — but every reading misses trajectory by a wide margin - Implied all-in spend is on the order of $100M+ per month against low-single-digit millions in monthly revenue - Cash remaining: several hundred million dollars — Recode reported about $200 million available in September; the eventual wind-down returned roughly $350 million - Advisers have shopped the company for weeks; no buyer, no SPAC, no new money has materialized - The Eko lawsuit, funded by Elliott Management, targets the Turnstyle technology - TV apps launched yesterday — the final, quiet abandonment of the mobile-only thesis

Whitman and Katzenberg's position (paraphrased from their documented public statements through this period): - The pandemic destroyed the use case the company was built on; that is bad luck, not a bad idea. Katzenberg had said it plainly in May: "I attribute everything that has gone wrong to coronavirus." - The content is award-winning — two Emmys in September — and the library grows every week - The team has iterated relentlessly: casting, sharing, price cuts, a free tier abroad, TV apps - Winding down means unwinding commitments with the biggest names in Hollywood — who are also the shareholders

Other board members (studio, bank, and strategic investors) are uncertain but have historically deferred to the founders.

Your Decisions

Decision 1: Kill or Continue?

Your vote on the main question: Should Quibi be killed now, pivoted, or continued as-is?

- **Kill (Option A)**: Wind down within ~6 weeks. Return the remaining ~$350M to investors. Sell content and technology for what they fetch.
- Requires admitting the model doesn't work
- Requires the founders to say so publicly
- Best for investors financially (preserves capital)
- Worst for team morale and founder reputation
- **Continue (Option B)**: Keep going another 6-12 months. Keep releasing the 175-show slate. Hope conversion improves as lockdowns evolve.

- Aligns with the founders' instincts and Hollywood commitments
- Buys time to see if trends improve
- Burns the remaining cash with no evidence-based reason to expect a different outcome
- Delays the inevitable if the model is broken
- **Pivot (Option C)**: Go free/ad-supported everywhere (the Australia/NZ test), or chase TVs. Stop new content commitments. Repurpose the library.
- Removes the core assumption (people will pay for short-form)
- Requires dramatic repositioning against TikTok, Reels, and Shorts — free products with infinite content and better algorithms
- Ad revenue is already wobbling (deferral requests)
- Recovers some value from existing content

Decision 2: What Kill Criteria Would You Set for Month 12 (April 2021)?

If you vote "continue," what metrics would trigger an immediate kill — in writing, today? - Paying subscribers still below 1 million? - Subscriber households still shrinking quarter over quarter? - Conversion (measured by an agreed third party — no more dueling analytics firms) still below 15%? - Cash remaining below $150M?

Set your own thresholds. The exercise is the point: Quibi never did this.

Decision 3: What Would It Take to Convince You the Product Works?

What positive signal would change your mind? What would convince you to keep going? - Conversion (agreed measurement) hitting 15%+? - Subscriber households growing two consecutive quarters? - A distribution partnership that brings paying scale (not free trials)? - Monthly revenue covering, say, a third of monthly spend?

Be specific.

The Deeper Strategic Question

Is there any scenario in which Quibi survives?

Think through: - Could a pricing change (e.g., $1.99/month) have saved it? (Unlikely — the competition was free, and the free-tier test abroad came late) - Could a content strategy change (more creator-driven, less scripted) have saved it? (That is competing with TikTok on TikTok's terms; Quibi loses) - Could a distribution change (TV apps, telecom bundles from day one) have saved it? (T-Mobile's free year drove trials, not payers; TV apps arrived the day before the end) - Could the founders have known all this in January 2020 — or in 2018? (Yes: a pre-launch willingness-to-pay test was cheap, fast, and never run)

The real question: Was Quibi's failure inevitable, or was it a kill decision failure?

Study Questions for Class Discussion

1. **What should the kill criteria have been set at in January 2020?** If Quibi had committed to specific metrics that would trigger shutdown, what would they be? (Harder: what should the criteria have been in August 2018, before the $1 billion was raised?)
2. **Could Whitman and Katzenberg have known Quibi would fail before launch?** What signals did they miss or ignore — and what €0 test would have surfaced them?
3. **The board announced the shutdown on October 21, 2020. If it had killed on July 8 — the day the trial-conversion data landed — it would have preserved on the order of $150-300M more. Why didn't it?** What psychological factors prevent boards from killing projects?
4. **Is Katzenberg's documented position ("I attribute everything that has gone wrong to coronavirus") reasonable?** Or is it rationalization? How would you tell the difference from inside the boardroom?
5. **The pandemic timing was bad luck, not bad execution. Does that matter for the kill decision?** If extraordinary circumstances are temporary, how long do you wait — and what do you pre-commit to while waiting?
6. **When the conversion numbers arrived, Quibi disputed the measurement rather than the meaning.** What does that tell you about deciding how a metric will be measured before you need it?
7. **What's the opportunity cost of NOT killing Quibi earlier?** What could $1.4 billion and two years of two exceptional operators' time have produced instead?
8. **Is sunk cost fallacy an excuse or an explanation?** How do sophisticated investors and founders fall into this trap — and does Quibi's eventual orderly wind-down (returning ~$350M) deserve more credit than it gets?

Epilogue (read after class)

Spoiler warning: this section gives away the full arc. Read it after the class discussion, not before.

What actually happened:

On October 21, 2020 — six months after launch — the Wall Street Journal reported Quibi was shutting down; the board's decision was confirmed by Katzenberg and Whitman the same day. In their joint open letter, they wrote that Quibi was "not succeeding. Likely for one of two reasons: because the idea itself wasn't strong enough to justify a standalone streaming service or because of our timing." And, notably for this module: "As entrepreneurs our instinct is to always pivot, to leave no stone unturned — especially when there is some cash runway left — but we feel that we've exhausted all our options."

Katzenberg told Deadline: "There was no question that keeping us going was not going to have a different outcome, it was just going to spend a whole lot more money without any value to show for it. So, out of respect for these people that put up this extraordinary amount of capital to do it, that's irresponsible and we both felt we shouldn't do it."

The service went dark on December 1, 2020, eight months after launch; about 200 employees lost their jobs. Quibi reportedly told investors — Disney, NBCUniversal, WarnerMedia, ViacomCBS among them — it would return about $350 million of its remaining cash. In January 2021, Roku bought the global rights to all 75 shows for less than $100 million and relaunched them in May 2021 as free, ad-supported "Roku Originals."

Sit with that irony: the content found an audience the moment it stopped costing $4.99 a month. The monkey was never the content. The monkey was the paywall.

Whitman went on to serve as U.S. Ambassador to Kenya (2022-2023). Katzenberg returned to his investment firm, WndrCo. #FreeRayshawn's two Emmys, won five weeks before the shutdown decision, stand as the epitaph: quality was never the problem.

Key Insights:

1. **The Cheap Kill Was Available Twice**: Once in 2018 (a €0 willingness-to-pay test before raising $1B) and once in July 2020 (when the conversion data landed). Each month of delay after July cost tens of millions. The October decision was right — and late.
2. **Founder Deference and Board Failure**: The board deferred to two legendary operators even as data contradicted their optimism. The WSJ's post-mortem noted investors backed Quibi "largely because they trusted the gut instincts and vision of Mr. Katzenberg." Trust is not a substitute for tripwires.
3. **Extraordinary Circumstances as Excuse**: The pandemic was real, but it revealed (rather than caused) Quibi's flaws. A free-first test would have exposed the willingness-to-pay problem in any timeline.

4. **Dispute the Meaning, Not the Measurement**: Because no metric was pre-agreed, Quibi spent its scarcest months arguing that Sensor Tower's numbers were wrong instead of confronting what even its own numbers meant. Decide how you'll measure before you're desperate.
5. **Content Commitments Lock You In**: Over $1 billion in deals with talent who were also shareholders created a structural barrier to quitting. Every pedestal you build makes the monkey harder to look at.

Teaching Points for Students:

- **Set Kill Criteria Before Launch**: Don't just set growth targets (Quibi had those: 7.4M). Set minimum acceptable evidence with dates attached. If conversion (measured how, by whom) is below X% by date Y, we stop. In writing. In advance.
- **Feedback Loops Matter**: Quibi's 90-day free trial pushed its most important signal — willingness to pay — three months past launch, with $100M+/month burning in the meantime. Design for the fastest possible contact with the fatal question.
- **Sunk Cost Fallacy is Real**: Even brilliant founders and experienced investors fall into it. $1.4 billion already spent is not a reason to continue; it is emotionally indistinguishable from one.
- **The Pandemic Is Real But Not An Excuse**: Extraordinary circumstances can mask fundamental problems. They don't fix them. Ask: would this product have worked in the world we expected? The honest answer for Quibi was "untested."
- **Monkey First**: Quibi is the definitive pedestal-building story. The riskiest assumption (payment for short-form) was testable for approximately nothing. Everything else — stars, patents, Super Bowl ads — was pedestal. (See Exhibit E; attribution: Astro Teller.)

Discussion Extension: What should Quibi have done differently? - Hypothesis: A 2018 smoke test — landing page, trailer, real price, fake checkout — would have shown single-digit willingness to pay before a dollar of content was commissioned. - Hypothesis: Launching free/ad-supported from day one (the model Roku later proved with this very library) would have built a real audience to monetize later. - Hypothesis: Committing in writing, at the March 2020 second close, to July kill criteria would have converted the 90-day trial from a delay mechanism into a scheduled verdict.

The lesson: **Sometimes your idea is right, but your business model is wrong. Kill criteria — set before the money moves — are how you find out for thousands, not billions.**

Follow-up Case Idea: Compare Quibi's wind-down to Netflix's decision to keep investing in streaming even as DVD revenue declined. Both faced hard decisions about their core

assumptions. Netflix kept going (and it worked) — but Netflix had pre-committed metrics moving the right way. The difference between conviction and denial is not confidence; it's evidence.

Teaching case written for this course from public sources. Exhibits marked as illustrative are reconstructions for classroom use.